REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
REGIONAL OFFICE NO. XI

May 05, 2023

Honorable JOSE E. RELAMPAGOS
City Mayor
City Government of Panabo
Province of Davao del Norte

OFFICE OF THE CITY MAYOR
RECEIVED
DATE: MAY 12 2023
RECEIVED BY:
CITY GOVERNMENT OF PANABO

Dear Mayor Relampagos:

We are pleased to transmit the Annual Audit Report of the City Government of Panabo, Province of Davao del Norte for the calendar year 2022, pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of the Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The audit was conducted to (a) ascertain the fairness of presentation of the financial statements; (b) ascertain the propriety of financial transactions and compliance with prescribed rules and regulations; c) to determine whether the resources of the government were utilized economically, efficiently and effectively; d) recommend agency improvement opportunities; and (e) determine the extent of implementation of prior years' audit recommendations.

The attached report consists of four parts. Part I contains the Audited Financial Statements, Part II details our Observations and Recommendations, Part III indicates the Status of Implementation of Prior Years' Audit Recommendations, and Part IV presents the Annexes.

We conducted the audit in accordance with applicable International Standards of Supreme Audit Institutions (ISSAIs), and we believe it provides a reasonable basis for our opinion.

We rendered a qualified opinion was rendered on the fairness of presentation of the year –end financial statements of the City Government of Panabo as at December 31, 2022 and its financial performance and cash flows for the year then ended.

Other significant observations noted in audit are the following:

1. Contracts covering the specific projects charged under Program/ Projects/ Activities (PPAs) of 20% Development Fund with appropriation expressed in generic terms are considered irregular transactions due to insufficient documentation to show compliance with Section 22(c) of RA No. 7160, The Local Government Codes of 1991 and COA Memorandum No. 2010-014 dated April 22, 2010.

2. Underutilization of allotted funds totaling P415,712,134.30 and delay in the implementation of projects totaling P154,489,595.30 affects the efficiency and economy in the government operation and deprives the constituents of the expected benefits that could have been derived therefrom; while, unexpended balances totaling P5,080,330.04 of completed projects with continuing appropriation were not reverted to the unappropriated surplus which could have been utilized to fund other priority projects/programs/activities of the government.

3. The delayed project implementation and slow utilization of fund pertaining to the Funds received from Department of Budget and Management contravene the provisions of Presidential Decree No. 1445 and Local Budget Circular (LBC) No. 135 dated January 20, 2021, thus, affecting the City Government's efficiency in delivering the timely and optimum benefits derived from the projects.

4. The City was not able to fully utilize the LDRRM Fund intended for various Projects/Programs/Activities with only 60.00% percent utilization or P112.871 million, out of P188.127 million total available funds from the 70% mitigation fund and prior years unexpended balances, thus the City's objectives to strengthen its capacity to build disaster resilience and enhance disaster preparedness and response capabilities were not fully attained.

The details of these significant audit observations, together with the recommended courses of actions, are discussed in Part II of the report.

We request that the recommendations be immediately implemented and we will appreciate being informed of the action(s) taken thereon by submitting the attached duly accomplished Agency Action Plan and Status of Implementation (AAPSI) within 60 days from receipt hereof.

We express our appreciation for the valuable support and cooperation extended to the Audit Team by the officials and staff of the City Government.

Very truly yours,

ATTY. EMILIO A. ASI, JR.
Director IV
Regional Director

Copy furnished:

1. *The Regional Director, DILG, Regional Office No. XI, Davao City*
2. *The Regional Director, BLGF, Regional Office No. XI, Davao City*
3. *The Regional Director, DBM, Regional Office XI, Davao City*
4. *The Honorable Members of the Sangguniang Panlungsod*
   Thru: The Secretary, Sangguniang Panlungsod, City Government of Panabo, Davao del Norte
5. *The Assistant Commissioner, Local Government Sector, COA, Quezon City*
6. *The Regional Director, COA RO XI, Davao City*
7. *The National Library, T.M. Kalaw Street, Ermita, Manila*
8. *The UP Law Center, Bocobo Hall, UP Law Complex, UP,Diliman, Quezon City*